

Manycore

AI expands the opportunity; value capture remains to be proven; assume coverage at Neutral

We assume coverage of Manycore with a Neutral rating and a HK\$7 Dec-27 price target, based on an SOTP valuation, applying 15x 2028E P/E to the traditional SaaS business, and US\$1.3bn to Spatial Intelligence, which is at one-third of the average private-market valuations for global Spatial Intelligence/World Model peers. Manycore is China's leading cloud-native spatial-design SaaS provider, but its core market faces a combination of high existing penetration and lackluster property and home-furnishing demand. Revenue grew 8.6% in 2025 and decelerated to 1.5% YoY in 1H26, with subscription revenue up 0.8% and 2025 enterprise NRR at c.101%. AI can expand the opportunity beyond traditional professional design by lowering creation costs and increasing design, visual-content and 3D workloads. The key investment question is whether Manycore can retain sufficient scarcity as models improve and convert this larger activity pool into renewed revenue and cash-flow growth.

- **Core SaaS has meaningful workflow depth, while the traditional growth pool remains constrained.** Kujiale and Coohom combine 3D design, rendering and asset libraries with enterprise workflows extending into sales and production. Large customers show materially stronger retention and expansion, reflecting deeper workflow integration, while overall customer economics remain softer. Weak property and home-furnishing activity further limits new customer and seat growth. We expect large-account penetration, overseas expansion and additional workflows to be the more realistic growth drivers for the existing SaaS franchise.
- **AI can expand the workload while shifting where scarcity resides.** Automated design can increase output per customer and extend creation beyond professional designers to salespeople, merchants and consumers. At the same time, multimodal and 3D models increasingly absorb rendering, generic generation and software-interface complexity. Manycore's more durable assets lie in structured spatial context, including geometry, dimensions, real product SKUs, object relationships, professional workflow and design-to-production integration. SpatialVerse, Aholo, Lux3D and the company's proprietary world model extend this positioning toward Spatial Intelligence, although external adoption and monetization remain early.
- **1H26 provides early monetization evidence; group-level reacceleration remains next test.** New AI applications and products generated c.Rmb31mn of revenue, up 177% YoY, while gross margin reached 83.0% and adjusted net profit rose more than 200% to Rmb55mn. The contrast with 1.5% group revenue growth shows that AI has yet to materially change the overall growth trajectory. Our Neutral rating balances early AI monetization and longer-term Spatial Intelligence upside against subdued core SaaS growth and limited evidence so far that AI can lift NRR, consolidated revenue growth and ultimately FCF.

Neutral

0068.HK, 68 HK

Price (23 Sep 26): HK\$7.80

▼ **Price Target (Dec-27): HK\$7.00**
Prior (Jun-27): HK\$10.00

Hong Kong

Internet

Olivia Xu AC

(86-21) 6106 6138

olivia.w.xu@jpmorgan.com

SAC Registration Number: S1730525060001

Alex Yao

(86 21) 6106 6505

alex.yao@jpmorgan.com

SAC Registration Number: S1730523020001

J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	0.08	0.10	29.5%

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	91	85	86		
Growth	34	35	24		
Momentum					
Quality					
Low Vol	99				

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 19 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 0068.HK Price (HK\$)— HSI (rebased)

	YTD	1m	3m	12m
Abs	-	-11.1%	-36.6%	-
Rel	-	-6.6%	-43.0%	-

Company Data

Shares O/S (mn)	1,726
52-week range (HK\$)	48.50-7.40
Market cap (\$ mn)	1,716
Exchange rate	7.84
Free float (%)	27.3%
3M ADV (mn)	4.99
3M ADV (\$ mn)	6.4
Volatility (90 Day)	111
Index	HSI
BBG ANR (Buy Hold Sell)	4 1 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	820	848	905	977
Adj. EBIT	19	30	64	74
Adj. EBITDA	53	64	102	116
Adj. net income	57	131	127	139
Adj. EPS	0.13	0.10	0.07	0.08
BBG EPS	-	0.05	0.10	0.15
Cashflow from operations	(19)	159	205	239
FCFF	(19)	108	155	191
Margins and Growth				
Revenue Growth Y/Y (%)	8.6%	3.5%	6.7%	8.0%
EBIT margin	2.3%	3.5%	7.0%	7.5%
EBIT Growth Y/Y (%)	(116.1%)	61.6%	111.8%	15.9%
EBITDA margin	6.4%	7.5%	11.2%	11.8%
EBITDA Growth Y/Y (%)	(145.6%)	21.3%	58.8%	13.9%
Net margin	7.0%	15.4%	14.1%	14.3%
Adj. EPS growth	-	(22.4%)	(24.7%)	9.5%
Ratios				
Adj. tax rate	0.0%	0.0%	3.0%	5.0%
Interest cover	49.1	NM	NM	NM
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	(1.4%)	(8.7%)	10.4%	10.2%
Valuation				
FCFF yield	(0.6%)	1.2%	1.4%	1.7%
Dividend yield	-	-	-	-
EV/Revenue	14.2	12.8	11.8	10.7
EV/EBITDA	221.6	169.5	105.2	90.7
Adj. P/E	52.7	67.9	90.2	82.4

Summary Investment Thesis and Valuation

We rate Manycore Neutral as its professional design workflows and proprietary 3D and spatial assets provide differentiated exposure to a potentially large Spatial Intelligence opportunity. AI can extend the company from design software toward automated design, visualization and design-to-production workflows, increasing the amount of economic activity addressed by its platform. We believe proprietary spatial context and workflow integration provide residual scarcity as general models improve. However, n of Spatial Intelligence remains early, while core growth and enterprise NRR still need to provide a stronger financial base for the longer-term opportunity.

Our Dec-27 PT of HK\$7 is based on an SOTP valuation, applying 15x 2028E P/E to the traditional SaaS business and approximately US\$1.3bn to Spatial Intelligence, benchmarked against private-market valuations of global Spatial Intelligence and World Model peers. This approach recognizes the strategic value of Manycore's spatial assets while separately valuing the earnings of its established software franchise. We apply a 15x 2028E P/E to Manycore's traditional SaaS business, broadly in line with mature application peers given its proprietary professional workflows but relatively modest core growth, while we value the higher-growth Spatial Intelligence opportunity at one-third of the average private-market valuations for global Spatial Intelligence/World Model peers (AMI Labs at US\$3.5B premonney and World Labs at ~US\$5B, according to Bloomberg reports).

Industry: a mature spatial-design market with a larger AI-enabled opportunity

Manycore's existing business sits at the intersection of design software and China's home-furnishing ecosystem. The company built its position by moving professional spatial design and rendering onto cloud infrastructure, reducing local hardware requirements and allowing furniture and home-improvement companies to incorporate design into customer acquisition, sales and production. This created a sizable vertical SaaS opportunity during the digitization of China's home-furnishing industry.

The traditional domestic opportunity has become more constrained. Manycore already holds a leading position in China's spatial-design software market, while the underlying property and home-furnishing environment remains lackluster. Weak residential transactions, new-home sales and property investment affect store expansion, consumer spending and technology budgets across the downstream ecosystem. Existing large customers can continue digitizing workflows, but high existing penetration and a weak end market make broad-based customer and seat expansion harder than during the earlier phase of cloud adoption.

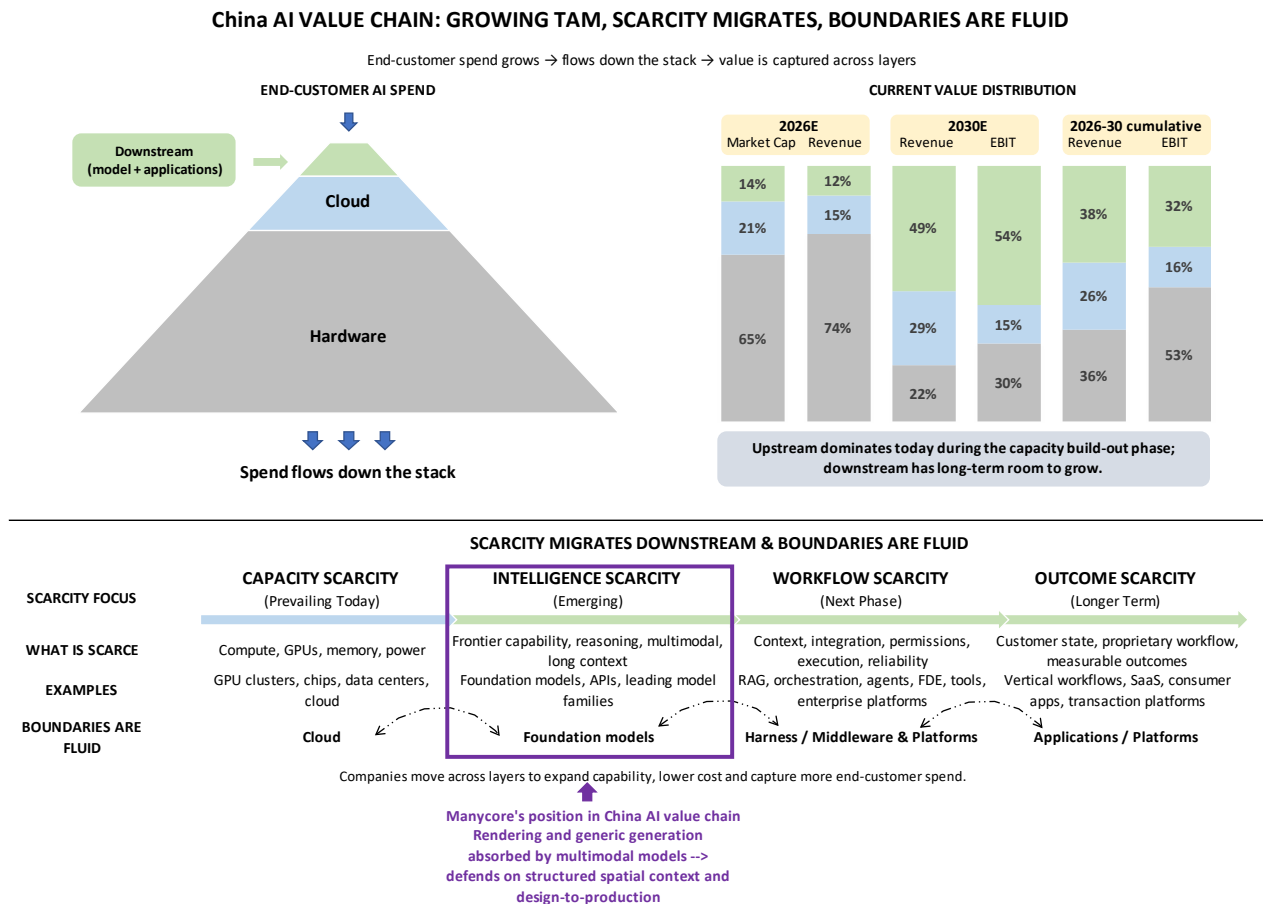
AI can change the size and composition of this opportunity. Spatial design has historically been constrained by professional skills and the time required to create, modify and render a design. Generative AI lowers these costs. Professional designers can produce more alternatives per project, while salespeople, merchants and consumers can increasingly generate designs and visual content without mastering complex design software. This creates the supply-creation effect discussed in our industry framework: the economic pool can grow even if the number of professional designers does not.

For Manycore, this expands potential workloads from traditional design into automated design, e-commerce imagery, video and 3D content. Spatial Intelligence provides a further, less mature opportunity. Physical-AI systems require structured representations of three-dimensional environments, synthetic training environments and eventually models capable of understanding spatial relationships and interactions. Manycore's existing 3D workflows provide an adjacency into this market through SpatialVerse, spatial models and its developing world model.

The opportunity is therefore materially larger than the company's historical SaaS market. The same intelligence also increases model attackability, because rendering, generation and parts of the software interface can increasingly be absorbed into general or specialized models. Manycore's investment case depends on whether the workload expansion outweighs this feature commoditization and whether the company can retain a sufficiently valuable control point in the resulting workflow.

For more broad-based industry discussions, please refer to our [China AI value chain industry note: China AI value chain: The expanding pie and race for value: Initiate broader coverage](#).

Figure 1: Manycore's position in the China AI value chain



Source: Bloomberg Finance L.P., J.P. Morgan estimates. (as of Sep 11, 2026)

Company and business model: a SaaS leader searching for a second growth curve

Founded in 2011, Manycore built its original franchise around **Kujiale in China and Coohom overseas**. The company subsequently extended from a design tool into enterprise workflows covering product configuration, customer sales and production. The first stage of the business was the digitization of professional spatial design. The next stage involved deeper enterprise integration. The financial data support this distinction. Revenue reached approximately Rmb820mn in 2025, up 8.6% YoY. Total enterprise NRR was c.100.7% and enterprise retention c.79.8%, indicating limited expansion across the overall customer base. Large-client economics were stronger, with NRR of c.109% and retention close to 99%. Manycore appears most valuable where spatial design is part of a broader operating workflow rather than a standalone productivity tool.

1H26 reinforced the maturity of the core business. Revenue increased 1.5% YoY to Rmb405mn and subscription revenue rose 0.8% to Rmb393mn, representing c.97% of group revenue. The growth model for the existing SaaS franchise increasingly depends on deeper large-account penetration, more workflow modules, overseas expansion and higher AI-driven usage. AI represents the next stage of product development. New AI applications and products contributed c.Rmb31mn of revenue in 1H26, up 177% YoY. Spatial Intelligence sits further out on the strategic path. SpatialVerse addresses synthetic environments and simulation-related use cases, while Aholo exposes spatial capabilities through APIs and SDKs. Lux3D expands the company's proprietary model capability, and management has said its world-model product has entered internal testing. **We believe there is a logical progression from spatial-design SaaS into AI-enabled creation and structured spatial intelligence, while world models and broader Physical-AI infrastructure require materially greater technical and capital investment and should still be treated as longer-duration optionality.**

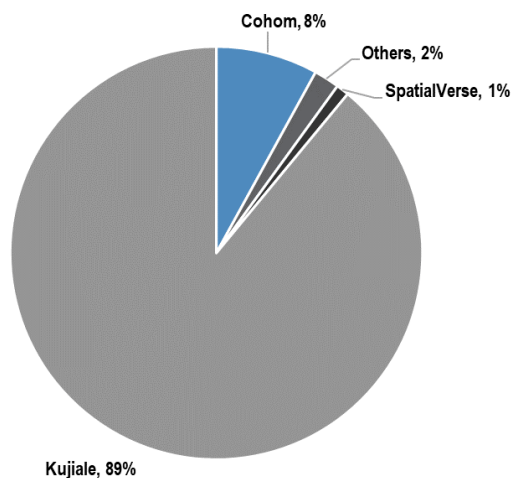
Scarcity: value is moving deeper into structured spatial context and workflow

Manycore's historical differentiation combined cloud rendering, professional design tools, 3D asset libraries, vertical domain knowledge and workflow integration. This creates meaningful model attackability for the core product. AI-native applications can increasingly begin with generation as the primary user experience and do not need to reproduce every feature of a traditional design suite. Asset quantity alone may also become less valuable as better 3D-generation models reduce the cost of producing generic objects and scenes. The more durable scarcity lies in **structured spatial context**. Enterprise workflows can further incorporate real SKUs, pricing, quotation, BOM, manufacturing requirements and downstream production constraints. A visually attractive room can increasingly be generated by a model; producing an editable and commercially executable design remains a different problem.

This distinction also changes the value of Manycore's historical data. Generic 3D assets become easier to replicate, while structured scenes connected with real products, workflow actions and production outcomes are more difficult to recreate. These data can also support training, evaluation and fine-tuning of spatial models. Manycore is trying to carry this residual scarcity into Spatial Intelligence. Spatial models can use structured environments to improve spatial understanding and generation, while SpatialVerse can provide synthetic environments for downstream simulation and agent training. The company's world-model effort represents the furthest extension of this strategy.

We see greater credibility in Manycore becoming a provider of **spatial context, data and capabilities** than in assuming it becomes a frontier general world-model leader. Its advantage starts from real workflows, enterprise distribution and structured spatial assets, while frontier capabilities in temporal dynamics, physical interaction and general world modeling remain less established. Spatial Intelligence can therefore expand the company's scarcity pool, but the strength and commercial value of that new position still require evidence.

Figure 2: Manycore's revenue mix by product



Source: Manycore, Company prospectus, April 9, 2026.

Table 1: Implementation of Kujiale

Workflow	Functions
Upload CAD designs / floor plans	Start by uploading CAD design files or floor plans. Kujiale's AI copilot assists in transforming these files into detailed 3D design scheme.
Design with AI and material library	The platform's library, featuring millions of 3D models and design materials, allows for easy customization by dragging and dropping elements like furniture, lighting, and decor.
Instant 3D visualization and rendering	Built with specially designed GPU clusters and AI technologies, Kujiale can generate instant photorealistic renderings and visualization in both 2D and 3D, as well as image and video.
Generate comprehensive engineering drawings and production-ready instructions	Designers can generate engineering drawings tailored to specific needs, such as construction plans, lighting systems, and electrical layouts.
Collaboration and finalization	KuSpace, an add-on with Building Information Modeling (BIM) capabilities, automatically converts 3D design into production-ready instructions, including engineering drawings, material lists, and cost schedules.
	Throughout the process, the cloud-native architecture supports collaboration and accessibility. Once everything is reviewed, the design can be sent directly to manufacturers for production.

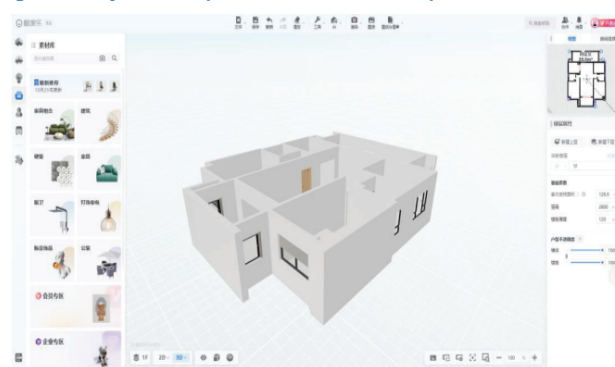
Source: Manycore, Company prospectus, April 9, 2026.

Figure 3: Kujiale example: CAD drawings uploaded through AI Copilot



Source: Manycore, Company prospectus, April 9, 2026.

Figure 4: Kujiale example: Generated 3D floor plan



Source: Manycore, Company prospectus, April 9, 2026.

Figure 5: Kujiale 2D design interface examples

2D Design Interface (Residential Design)



Source: Manycore, Company prospectus, April 9, 2026.

2D Design Interface (E-commerce Design)



Figure 6: Kujiale 3D design interface examples

3D Design Interface (Residential Design)

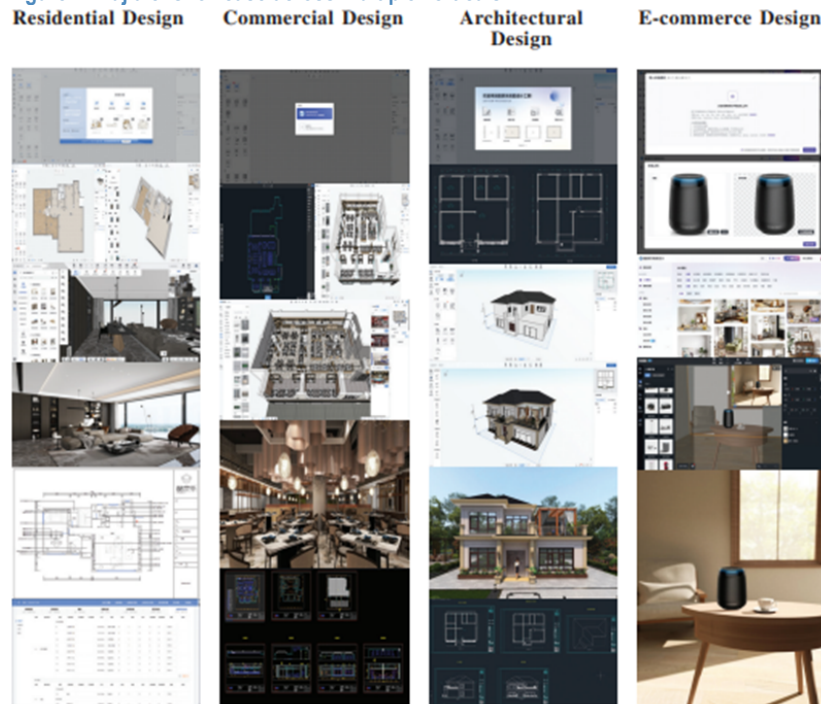


Source: Manycore, Company prospectus, April 9, 2026.

3D Design Interface (E-commerce Design)



Figure 7: Kujiale: showcase across multiple verticals



Source: Manycore, Company prospectus, April 9, 2026.

Defensibility and value capture: workflow depth provides a base; AI needs to change customer economics

Manycore faces competitive pressure from both better models and AI-native applications. Its installed enterprise base, structured product libraries and workflow integration provide meaningful advantages. Total enterprise NRR of c.101% suggests limited expansion across the average customer base, while large-client NRR of c.109% and retention near 99% indicate stronger economics where design is more deeply connected with broader business processes. Defensibility should therefore improve as customers integrate the platform beyond rendering into sales, product and production workflows. Monetization provides the clearest test of whether this defensibility translates into shareholder value. If AI materially increases design activity while Manycore retains the customer relationship, higher usage should eventually translate into incremental spending, higher ARPU and stronger NRR. Strong usage with limited customer spending would provide much weaker evidence.

1H26 marks a meaningful first step. New AI applications and products generated c.Rmb31mn of revenue, up 177% YoY and equivalent to c.8% of group revenue. LuxReal also showed rapid early user and revenue growth after launch, while SpatialVerse contributed to professional-service growth. The group-level financials remain the more important cross-check. Subscription revenue increased only 0.8% and group revenue 1.5%. Rapid AI growth has therefore not yet translated into a material change in consolidated growth or existing-customer expansion. A stronger investment case would require AI revenue to lift enterprise NRR, ARPU and overall revenue growth rather than primarily adding a fast-growing small revenue stream alongside a stagnant core.

Pricing can also evolve over time. Traditional SaaS monetization is tied largely to subscriptions and human users, while AI creation naturally generates measurable machine usage through designs, renderings, videos, 3D assets, API calls and simulation workloads. Spatial Intelligence provides an additional capture opportunity through external APIs, synthetic environments and simulation services. External recurring revenue and customers outside the home-furnishing vertical would be particularly important because they would demonstrate that Manycore's spatial assets can support a standalone economic pool rather than simply enhance the existing SaaS product.

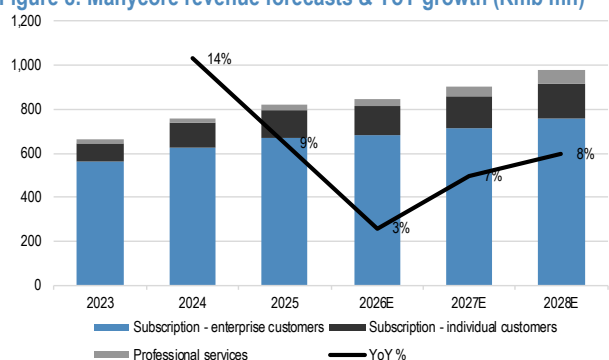
Financial quality and cash flow: profitability is improving; growth and capital efficiency remain the harder tests

Manycore's mature SaaS business produces attractive gross-margin economics. Gross margin was 82.2% in 2025 and increased to 83.0% in 1H26, while gross profit rose despite limited revenue growth. The high subscription mix provides recurring revenue visibility and gives the company an established earnings base from which to fund new AI products. Adjusted profitability has improved more rapidly than revenue. Adjusted net profit reached Rmb55mn in 1H26, up more than 200% YoY, demonstrating operating leverage as spending becomes more disciplined. This is financially positive, although the quality of profit improvement needs to be assessed alongside the low growth rate. Cost discipline can raise near-term earnings, but sustainable software compounding ultimately requires stronger revenue and gross-profit growth.

Cash conversion is therefore an increasingly important test. The IPO strengthened the balance sheet and reduced near-term funding pressure, shifting the question from liquidity toward capital allocation. This matters because Spatial Intelligence is more compute- and capital-intensive than the historical SaaS business. Proprietary 3D models, world-model research, GPU infrastructure and large-scale simulation can increase R&D, inference costs and capex. **We therefore focus on whether revenue reacceleration can generate incremental gross profit faster than the associated growth in model, compute and R&D spending, followed by sustainable improvement in CFO and FCF.** Higher AI usage has limited economic value if the incremental gross profit is consumed by inference or infrastructure costs.

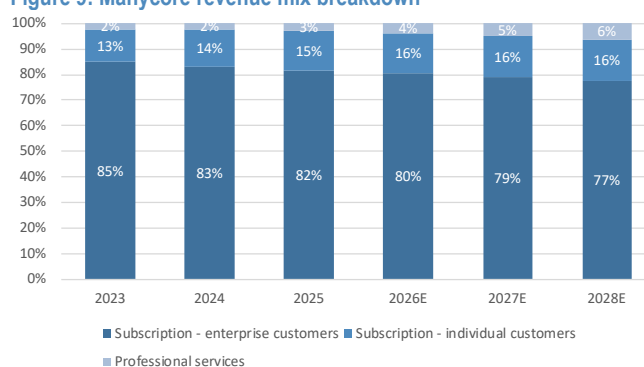
We expect 2026–28E revenue and profit broadly in line with consensus, with the traditional subscription business remaining relatively subdued while AI applications, overseas revenue and newer products gradually increase their contribution. Profitability can continue to improve if the core SaaS base provides operating leverage, although a more aggressive investment cycle in Spatial Intelligence could limit near-term cash conversion.

Figure 8: Manycore revenue forecasts & YoY growth (Rmb mn)



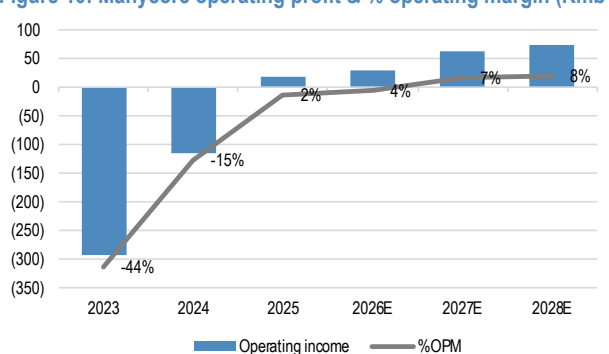
Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Figure 9: Manycore revenue mix breakdown



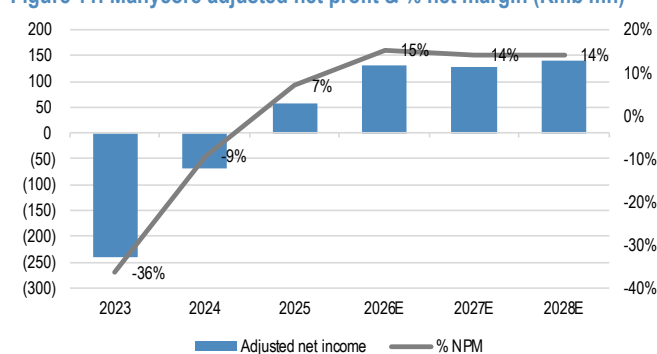
Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Figure 10: Manycore operating profit & % operating margin (Rmb mn)



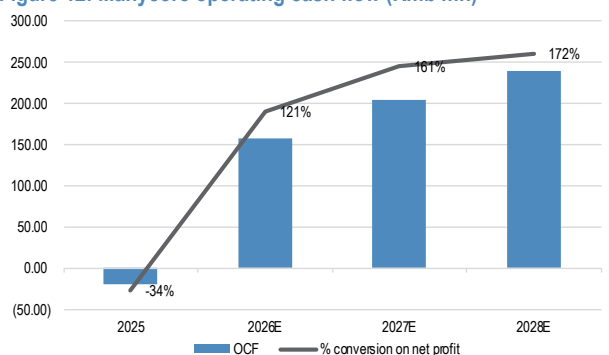
Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Figure 11: Manycore adjusted net profit & % net margin (Rmb mn)



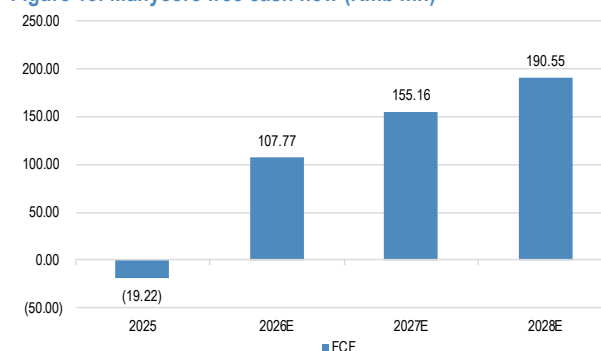
Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Figure 12: Manycore operating cash flow (Rmb mn)



Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Figure 13: Manycore free cash flow (Rmb mn)



Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Table 2: Manycore – P&L

Rmb mn	2023	2024	2025	2026E	2027E	2028E
Revenue	664	755	820	848	905	977
YoY growth		13.8%	8.6%	3.5%	6.7%	8.0%
Cost of revenue	154	144	146	146	157	164
Gross profit	509	611	674	702	748	813
Gross margin	76.8%	80.9%	82.2%	82.8%	82.6%	83.2%
Other operating income and expenses						
Other income	36	27	28	38	30	32
Other gains / (losses), net	4	7	(0)	9	0	0
Selling and marketing expenses	(356)	(326)	(274)	(279)	(294)	(318)
Research and development expenses	(391)	(337)	(291)	(315)	(327)	(354)
Administrative expenses	(96)	(96)	(111)	(124)	(93)	(100)
Impairment of intangible assets and goodwill	0	0	(7)	0	0	0
Operating profit / (loss)	(294)	(116)	19	30	64	74
Finance costs	(1)	(1)	(1)	5	10	10
Fair value changes of redeemable convertible preference shares	(351)	(397)	(445)	(137)	0	0
Share of results of associates	(0)	(0)	0	0	0	0
Profit / (loss) before income tax	(646)	(513)	(428)	(102)	74	84
Income tax	0	0	0	0	(2)	(4)
Profit / (loss) for the period	(646)	(513)	(428)	(102)	71	79
Non-controlling interests	0	0	0	0	0	0
Profit / (loss) attributable to owners of the Company	(646)	(513)	(428)	(102)	71	79
Non-IFRS adjusted net profit reconciliation						
Add: share-based compensation	53	37	19	64	56	60
Add: fair value changes of redeemable convertible preference shares	351	397	445	137	0	0
Add: listing expenses	0	9	21	31	0	0
Adjusted net profit / (loss)	(242)	(70)	57	131	127	139
Per share data (Rmb)						
Weighted average shares (mn)			452.4	1,332.7	1,726.2	1,726.2
EPS / (LPS)			(0.95)	(0.08)	0.04	0.05
Adjusted EPS			0.13	0.10	0.07	0.08

Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Table 3: Manycore – balance sheet

Rmb mn	2023	2024	2025	2026E	2027E	2028E
Assets						
Non-current assets						
Property, plant and equipment	29	33	35	52	64	71
Right-of-use assets	36	16	13	10	10	10
Intangible assets	18	13	2	1	1	1
Financial assets at fair value through profit or loss	5	9	0	0	0	0
Time deposits	51	0	73	0	0	0
Prepayments and other assets	13	11	8	3	3	3
Total non-current assets	153	82	131	66	78	85
Current assets						
Trade receivables	0	1	0	0	0	0
Prepayments and other assets	16	19	26	25	27	28
Financial assets at fair value through profit or loss	73	0	36	70	70	70
Time deposits	158	65	0	462	462	462
Restricted cash	0	0	1	1	1	1
Cash and cash equivalents	366	449	357	1,288	1,444	1,634
Total current assets	613	534	420	1,847	2,003	2,195
Total assets	766	616	551	1,913	2,081	2,280
Liabilities and equity						
Current liabilities						
Short-term borrowings	0	0	0	90	90	90
Trade and other payables	155	132	121	125	126	136
Deferred income	441	461	451	465	501	546
Lease liabilities	17	10	8	6	6	6
Redemption liabilities	3,287	3,736	4,092	0	0	0
Total current liabilities	3,900	4,340	4,672	686	723	777
Non-current liabilities						
Deferred income	176	130	59	59	63	68
Lease liabilities	18	4	4	2	2	2
Other non-current liabilities	1	0	0	1	1	1
Total non-current liabilities	194	134	63	62	66	71
Total liabilities	4,094	4,474	4,735	748	789	849
Equity						
Share capital	0	0	0	0	0	0
Reserves	(3,328)	(3,858)	(4,184)	1,164	1,292	1,431
Equity attributable to owners of the Company	(3,328)	(3,858)	(4,184)	1,165	1,292	1,431
Non-controlling interests	0	0	0	0	0	0
Total equity	(3,328)	(3,858)	(4,184)	1,165	1,292	1,431

Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Table 4: Manycore – cash flow statement

Rmb mn	2023	2024	2025	2026E	2027E	2028E
Operating activities						
Profit / (loss) for the period	(646)	(513)	(428)	(102)	71	79
Add back: share-based compensation	53	37	19	64	56	60
Add back: fair value changes of redeemable convertible preference shares	340	384	450	137	0	0
Add back: depreciation	47	37	34	34	38	42
Changes in working capital and other operating balances	144	(54)	(94)	25	40	58
Net cash from / (used in) operating activities	(62.57)	(108.19)	(19.22)	159	205	239
Investing activities						
Capex - property and equipment	(31)	(31)	(35)	(51)	(50)	(49)
Changes in investments, deposits and other non-current assets	(104)	234	(16)	(419)	0	0
Net cash from / (used in) investing activities	(134.78)	203.63	(51.41)	(470)	(50)	(49)
Financing activities						
Movements in share capital, reserves and non-controlling interests	7	3	0	5,386	0	(0)
Movements in redemption liabilities, excluding non-cash fair value changes	0	(1)	(5)	(4,229)	0	0
Movements in borrowings and lease liabilities	(24)	(18)	(11)	86	0	0
Net cash from / (used in) financing activities	(16.72)	(15.35)	(15.69)	1,243	0	(0)
Net increase / (decrease) in cash before exchange differences	(214)	80	(86)	931	155	191
Effect of foreign exchange rate changes on cash	3.32	2.90	(5.57)			
Cash and cash equivalents at beginning of period	576.58	365.82	448.82	357	1,288	1,444
Cash and cash equivalents at end of period	366	449	357	1,288	1,444	1,634

Source: Manycore, Company prospectus (April 9, 2026), 1H26 report, J.P. Morgan estimates.

Valuation and shareholder returns: the Spatial Intelligence premium has reset; earnings evidence matters more from here

We think valuation should distinguish between the mature spatial-design SaaS franchise, emerging AI creation revenue and longer-term Spatial Intelligence optionality. Our HK\$7 PT is derived from an SOTP valuation, applying a 15x 2028E P/E to the traditional SaaS business and US\$1.3bn to Spatial Intelligence, which is at one-third of the average private-market valuations for global Spatial Intelligence / World Model peers (AMI Labs at US\$3.5B premoney and World Labs at ~US\$5B, according to Bloomberg reports).

Our **Neutral** rating reflects this balance. The valuation reset has reduced the risk of paying upfront for a successful Spatial Intelligence transition, while the existing SaaS business alone does not support a strong growth thesis. Further upside should depend increasingly on earnings revisions, improving NRR and evidence that new AI workloads create incremental customer spending. Shareholder returns are likely to come primarily through earnings growth and valuation rather than distributions. Given the company's early profitability stage and investment requirements, capital allocation into R&D, models and compute is a more important variable than dividends or buybacks. Higher investment can create value if it extends the company's scarcity into scalable external workloads; sustained spending without corresponding revenue and cash-flow growth would weaken returns.

Table 5: JPMe versus consensus

YE 31 Dec	FY2026			FY2027		
Figures in Rmb mn	JPMe	Consensus	% delta	JPMe	Consensus	% delta
Net revenues	848	918	-8%	905	1,079	-16%
Subscription - enterprise customers	682			714		
Subscription - individual customers	133			145		
Professional services	33			46		
Gross profit	702	758	-7%	748	893	-16%
Selling and distribution expenses	(279)			(294)		
R&D expenses	(315)			(327)		
G&A expenses	(124)			(93)		
Operating profit	30	30	0%	64	111	-43%
PBT	(102)	(118)	14%	74	118	-37%
Net income	(102)	(117)	13%	71	113	-37%
Net income, adjusted	131	(35)	NA	127	128	-1%
EPS (Rmb/share)	(0.1)	0.1	247%	0.0	0.1	-52%
Adjusted EPS (Rmb/share)	0.1	0.1	-92%	0.1	0.1	-22%
Margin analysis (%)						
Gross margin	82.8%	82.6%	0.2%	82.6%	82.8%	-0.2%
Operating margin	3.5%	3.3%	0.3%	7.0%	10.2%	-3.2%
Net margin	-12.0%	-12.8%	0.8%	7.9%	10.5%	-2.6%
Net margin, adjusted	15.4%	-3.8%	19.2%	14.1%	11.9%	2.2%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates (as of Sep 21, 2026)

Historical share price analysis: the post-IPO reset has reduced narrative premium before earnings proof

The post-IPO trading pattern nevertheless illustrates the valuation debate. Early valuation reflected substantial confidence in the company's ability to extend from spatial-design SaaS into a much larger AI opportunity before corresponding earnings evidence had emerged. The correction has reduced this expectation, while 1H26 has provided the first meaningful evidence of AI revenue contribution.

Figure 14: Manycore's historical stock price analysis



Source: Bloomberg Finance L.P. (as of September 21, 2026), J.P. Morgan.

Risks and catalysts

The main risks to our Neutral rating relate to whether AI can improve the economics of the core SaaS business before design and rendering capabilities become more commoditized. Manycore has valuable workflow data, design tools and customer relationships, but the core business remains relatively mature. The investment case therefore depends on AI increasing customer spending, improving retention and extending the company into higher-value workflows. We see four main risks: structurally modest SaaS growth, limited AI monetization, faster commoditization of visual and design capabilities, and higher execution risk from Spatial Intelligence.

- **Core SaaS growth could remain structurally modest.** Manycore already has meaningful penetration in its core design markets, which limits the contribution from new customer additions. If enterprise NRR remains near current levels, the business may struggle to generate sustained acceleration through seat growth or module expansion alone. Overseas growth can extend the addressable market, but localization, competition and customer acquisition may limit near-term contribution. We would therefore focus on enterprise NRR, ARPU and large-client retention as the clearest indicators of whether the core business can reaccelerate.
- **AI functionality may improve the product without materially increasing customer wallet share.** Better rendering, generation and design assistance can increase engagement and reduce the time required to complete projects. The financial value depends on whether customers pay more for these capabilities. AI features could instead become part of the standard subscription as competitors offer similar tools. In that case, AI may improve retention while creating limited incremental revenue. We would place more weight on higher ARPU, stronger enterprise NRR, AI-related usage revenue and incremental gross profit than on AI adoption or generation volumes alone.
- **Better multimodal and 3D models could reduce the scarcity of existing design capabilities.** Foundation models are improving rapidly in image generation, 3D content creation and visual understanding. These advances could make rendering and parts of professional design easier to replicate across software platforms. Manycore therefore needs to move beyond generation toward structured workflows, proprietary spatial data and execution inside professional design processes. Its existing customer context and workflow integration can provide an advantage, but this advantage must deepen faster than underlying model capabilities commoditize. A weaker position at the workflow layer could reduce pricing power even if overall design-AI usage continues to grow.
- **Spatial Intelligence introduces a materially different execution and capital-allocation risk.** World models, simulation and embodied-AI applications require more research talent, compute and model-development spending than traditional SaaS. Commercial timelines are also less certain. SpatialVerse and Aholo may create significant long-term optionality, but the business could consume substantial R&D and compute before external revenue becomes meaningful. Manycore must also prove that its proprietary spatial and design data improve model performance enough to create differentiation versus larger model developers. Rising R&D or compute intensity without external adoption would weaken returns on incremental capital.

The main upside catalysts would be evidence that AI is changing consolidated customer economics rather than remaining a product feature. We would look for stronger enterprise NRR, higher ARPU, sustained group revenue growth and visible incremental AI gross profit. Within Spatial Intelligence, external SpatialVerse or Aholo customers, recurring API or usage revenue and adoption by robotics, simulation or industrial customers would provide important validation. Evidence that Manycore's proprietary spatial data improves model quality or lowers training requirements would strengthen the scarcity case further. We would also track large-client retention, overseas growth, R&D and compute intensity, and CFO/FCF. We would become more constructive if **AI monetization improves the economics of the core SaaS business while Spatial Intelligence begins to generate external recurring revenue without a** **increase in capital intensity.**

Investment Thesis, Valuation and Risks

Manycore Tech Inc. (Neutral; Price Target: HK\$7.00)

Investment Thesis

We rate Manycore Neutral as its professional design workflows and proprietary 3D and spatial assets provide differentiated exposure to a potentially large Spatial Intelligence opportunity. AI can extend the company from design software toward automated design, visualization and design-to-production workflows, increasing the amount of economic activity addressed by its platform. We believe proprietary spatial context and workflow integration provide residual scarcity as general models improve. However, adoption of Spatial Intelligence remains early, while core growth and enterprise NRR still need to provide a stronger financial base for the longer-term opportunity.

Valuation

Our Dec-27 PT of HK\$7 is based on an SOTP valuation, applying 15x 2028E P/E to the traditional SaaS business and approximately US\$1.3bn to Spatial Intelligence, benchmarked against private-market valuations of global Spatial Intelligence and World Model peers. This approach recognizes the strategic value of Manycore's spatial assets while separately valuing the earnings of its established software franchise. We apply a 15x 2028E P/E to Manycore's traditional SaaS business, broadly in line with mature application peers given its proprietary professional workflows but relatively modest core growth, while we value the higher-growth Spatial Intelligence opportunity at one-third of the average private-market valuations for global Spatial Intelligence/World Model peers (AMI Labs at US\$3.5B premoney and World Labs at ~US\$5B, according to Bloomberg reports).

Risks to Rating and Price Target

Upside risks to our rating and price target include faster adoption of Spatial Intelligence, stronger enterprise adoption and NRR, and successful expansion into higher-value design-to-production workflows.

Downside risks include slower core SaaS growth, prolonged investment before Spatial Intelligence generates meaningful revenue and stronger competition from general multimodal or world models. Private-market peer valuations may also compress, reducing the implied value of the Spatial Intelligence business.

Manycore: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	755	820	848	905	977	Cash flow from operating activities	(108)	(19)	159	205	239
COGS	(144)	(146)	(146)	(157)	(164)	o/w Depreciation & amortization	37	34	34	38	42
Gross profit	611	674	702	748	813	o/w Changes in working capital	(54)	(94)	25	40	58
SG&A	(423)	(385)	(403)	(387)	(417)	Cash flow from investing activities	204	(51)	(470)	(50)	(49)
Adj. EBITDA	(116)	53	64	102	116	o/w Capital expenditure	(31)	(35)	(51)	(50)	(49)
D&A	-	(34)	(34)	(38)	(42)	as % of sales	4.1%	4.3%	6.0%	5.5%	5.0%
Adj. EBIT	(116)	19	30	64	74	Cash flow from financing activities	(15)	(16)	1,243	0	0
Net Interest	(1)	(1)	5	10	10	o/w Dividends paid	-	-	-	-	-
Adj. PBT	(513)	(428)	(102)	74	84	o/w Shares issued/(repurchased)	3	0	5,386	0	0
Tax	0	0	0	(2)	(4)	o/w Net debt issued/(repaid)	(18)	(11)	86	0	0
Minority Interest	0	0	0	0	0	Net change in cash	83	(92)	931	155	191
Adj. Net Income	(70)	57	131	127	139	Adj. Free cash flow to firm	(108)	(19)	108	155	191
Reported EPS	-	(0.95)	(0.08)	0.04	0.05	y/y Growth	72.9%	(82.2%)	(660.8%)	44.0%	22.8%
Adj. EPS	-	0.13	0.10	0.07	0.08						
DPS	-	-	-	-	-						
Payout ratio	-	-	-	-	-						
Shares outstanding	-	452	1,333	1,726	1,726						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	449	357	1,288	1,444	1,634	Gross margin	80.9%	82.2%	82.8%	82.6%	83.2%
Accounts receivable	1	0	0	0	0	EBITDA margin	(15.3%)	6.4%	7.5%	11.2%	11.8%
Inventories	-	-	-	-	-	EBIT margin	(15.3%)	2.3%	3.5%	7.0%	7.5%
Other current assets	84	62	558	559	561	Net profit margin	(9.3%)	7.0%	15.4%	14.1%	14.3%
Current assets	534	420	1,847	2,003	2,195	ROE	1.9%	(1.4%)	(8.7%)	10.4%	10.2%
PP&E	33	35	52	64	71	ROA	(10.1%)	9.8%	10.6%	6.4%	6.4%
LT investments	0	73	0	0	0	ROCE	3.2%	(0.5%)	(2.0%)	4.7%	4.8%
Other non current assets	49	24	14	14	14	SG&A/Sales	56.0%	47.0%	47.5%	42.7%	42.7%
Total assets	616	551	1,913	2,081	2,280	Net debt/Equity	0.1	0.1	NM	NM	NM
Short term borrowings	0	0	90	90	90	Net debt/EBITDA	3.9	NM	NM	NM	NM
Payables	132	121	125	126	136	Sales/Assets (x)	1.1	1.4	0.7	0.5	0.4
Other short term liabilities	4,208	4,551	471	506	552	Assets/Equity (x)	NM	NM	NM	1.6	1.6
Current liabilities	4,340	4,672	686	723	777	Interest cover (x)	NM	49.1	NM	NM	NM
Long-term debt	-	-	-	-	-	Operating leverage	(441.1%)	(1344.5%)	1773.9%	1679.2%	199.6%
Other long term liabilities	134	63	62	66	71	Tax rate	0.0%	0.0%	0.0%	3.0%	5.0%
Total liabilities	4,474	4,735	748	789	849	Revenue y/y Growth	13.8%	8.6%	3.5%	6.7%	8.0%
Shareholders' equity	(3,858)	(4,184)	1,165	1,292	1,431	EBITDA y/y Growth	(60.7%)	(145.6%)	21.3%	58.8%	13.9%
Minority interests	0	0	0	0	0	EPS y/y Growth	-	-	(22.4%)	(24.7%)	9.5%
Total liabilities & equity	616	551	1,913	2,081	2,280						
BVPS	-	(9.25)	0.87	0.75	0.83	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	-	-	(109.4%)	(14.4%)	10.8%	P/E (x)	-	52.7	67.9	90.2	82.4
Net debt/(cash)	(449)	(357)	(1,198)	(1,354)	(1,544)	P/BV (x)	-	NM	7.6	8.9	8.0
						EV/EBITDA (x)	-	221.6	169.5	105.2	90.7
						Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Manycore (0068.HK, 68 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
27-May-26	N	19.08	19
28-Aug-26	N	9.05	10

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 27, 2026. All share prices are as of market close on the previous business day.

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